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STRATEGIC ANALYSIS-EXTERNAL ENVIRONMENT

SESSION 2

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OUTLINE

- Industry analysis using Porter's Five Forces
- PESTEL analysis for macro-environmental scanning
- Industry life cycle and strategic implications
- Competitive intelligence and environmental scanning
- Blue Ocean Strategy concepts

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EXTERNAL STRATEGIC ANALYSIS

- Understanding external forces shaping business strategy
- Why some industries thrive while others shrink
- Strategy = internal strengths + external fit
- Tools: Five Forces, PESTEL, life cycles, scanning

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WHAT IS EXTERNAL ANALYSIS?

- Identifies opportunities and threats
- Focuses on forces beyond the firm’s control
- Includes macro-environment and industry dynamics
- Shapes decisions like entry, pricing, expansion
- Constantly evolving not a one-time task
- Builds the foundation for good strategy

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WHY EXTERNAL ANALYSIS MATTERS

- Helps avoid strategic blind spots
- Informs risk management and contingency plans
- Helps firms adapt early to disruptions
- Connects company capabilities with market realities
- Enables better forecasting of trends
- Great strategy means great external insight

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PORTER'S FIVE FORCES

- Tool to assess industry attractiveness
- Reveals how profits are shared across the value chain
- Shows sources of pressure on firms in a sector
- Developed by Michael Porter in 1979
- Still widely used in consulting and strategy today

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THREAT OF NEW ENTRANTS

- How easy is it for a new firm to enter?
- Entry barriers: capital, tech, regulation
- Customer loyalty reduces threat
- Economies of scale as a defense
- Brand equity and IP help incumbents
- EV industry: high entry barriers due to tech & cost

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BARGAINING POWER OF SUPPLIERS

- Few suppliers equals more power
- Switching costs increase dependence
- Unique inputs (e.g., rare metals) boost power
- Backward integration threat affects balance
- Supply chain disruptions increase power
- EVs depend on key materials like lithium

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BARGAINING POWER OF BUYERS

- Customers with choices equals more power
- Price-sensitive markets equals low profitability
- High switching costs equals reduced buyer power
- Buyer concentration increases leverage
- Online platforms increase transparency

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THREAT OF SUBSTITUTES

- Can customers switch to other solutions?
- Substitutes meet the same need, not same product
- Electric Vehicles vs. public transport or hybrid cars
- Streaming vs. cinema for entertainment
- Substitutes cap potential profitability
- Innovation can reduce substitute threats

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INDUSTRY RIVALRY

- Number and size of competitors
- Industry growth rate influences rivalry
- Fixed costs push price competition
- Lack of differentiation increases intensity
- Exit barriers worsen rivalry

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WHAT IS PESTEL ANALYSIS?

- A macro-environment scanning tool
- Focuses on external trends, not industry structure
- Helps identify slow-building forces
- Complements Five Forces
- Best used regularly not just at launch
- Let’s break down each PESTEL dimension

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POLITICAL FACTORS

- Government stability and trade policy
- Tax laws and foreign investment rules
- Environmental and labor regulation
- Corruption risk and political unrest
- Strategy must account for policy shifts

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ECONOMIC FACTORS

- Interest rates, inflation, currency risk
- Consumer income and unemployment
- Economic cycles: boom vs. recession
- Global trade dynamics
- Income distribution patterns

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SOCIAL FACTORS

- Lifestyle shifts and consumer preferences
- Demographics (age, income, education)
- Cultural values and mobility trends
- Health consciousness, climate awareness
- Urbanization shapes transport demand

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TECHNOLOGICAL FACTORS

- Rate of innovation and R&D spending
- Automation, AI, and platform disruption
- Patents, IP, and tech clusters
- Mobile-first, digital-native user trends
- Electrical Vehicles batteries, autonomous tech innovations
- First-mover tech advantage can be short-lived

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ENVIRONMENTAL FACTORS

- Carbon emissions regulation
- Waste management and recycling norms
- Sustainable sourcing of materials
- Rising environmental activism
- Green branding and certification
- EVs positioned as eco-conscious transport

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LEGAL FACTORS

- IP law, antitrust enforcement
- Consumer protection rules
- Data privacy and cybersecurity laws
- Employment law and labor rights
- Trade restrictions and customs rules

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INDUSTRY LIFE CYCLE

- Describes stages of industry evolution
- Helps align strategy to market maturity
- Stages: Intro, Growth, Maturity, Decline
- Firms must evolve as industries mature
- Good timing results in major competitive edge

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LIFE CYCLE STAGES & STRATEGY

- Intro: High R&D, low sales, few players
- Growth: Rising demand, differentiation race
- Maturity: Slowing growth, price wars, efficiency focus
- Decline: Shrinking market, exits, innovation or death
- Strategy must evolve with the stage
- Timing missteps can cost millions

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STRATEGIC IMPLICATIONS OF LIFE CYCLE

- Early movers vs. late entrants
- Marketing strategy shifts with stages
- Resource allocation changes: R&D vs Efficiency
- Exit planning or product reinvention
- Signals when to pivot or double down

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COMPETITIVE INTELLIGENCE IN STRATEGY

- Involves ethical collection of competitor information
- Sources: financial reports, press releases, patent filings
- Tracks hiring trends, partnerships, and tech shifts
- Helps forecast rival moves and market disruptions
- Informs strategic positioning and defense planning
- Must avoid unethical practices (e.g., corporate espionage)

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ENVIRONMENTAL SCANNING & STRATEGIC TOOLS

- Scans macro and micro trends shaping the landscape
- Detects emerging threats and early opportunities
- Tools used:
  - SWOT Analysis, Scenario Planning and Benchmarking
- Encourages proactive strategy, not reactive survival
- Firms like Kodak & Nokia failed to act on weak signals
- Key: Track, interpret, act before it’s too late

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BLUE OCEAN STRATEGY?

- Concept developed by Kim & Mauborgne (2005)
- Focus on creating uncontested market space
- Avoids direct competition in “red oceans”
- Prioritizes value innovation over cost-cutting or feature-adding
- Emphasizes market creation, not share capture
- Unlocks new demand

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RED OCEAN VS. BLUE OCEAN

- Red Ocean: Crowded, competitive, shrinking profits
- Blue Ocean: Unexplored, growth-rich, new value curves
- Compete vs. make competition irrelevant
- Blood metaphor: Red oceans are full of cut-throat battles
- Example: Airlines (red) vs. Airbnb (blue in some territories)
- Strategic goal: Shift from red to blue

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TOOLS FOR BLUE OCEAN STRATEGY

- Strategy Canvas: Visualize industry competition and gaps
- Eliminate-Reduce-Raise-Create Grid (ERRC):
  - Eliminate industry assumptions
  - Reduce excesses
  - Raise buyer value
  - Create new factors
- Uncovers whitespace opportunities
- Helps reimagine customer value

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OTHER BLUE OCEAN EXAMPLES

- Apple iPod: Reimagined music experience, not just devices
- Uber: Created digital transportation-as-a-service model
- Netflix: Shifted from DVD rentals to subscription streaming
- Duolingo: Free, gamified language learning app
- Zoom: Dominated simplified B2B communication during COVID
- Class Prompt: What’s one blue ocean today?

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START WITH WHY

- People don’t buy what you do. They buy why you do it.
- External strategy begins with clarity of purpose
- Resonates with environment, regulation, innovation
- Consumers back brands with authentic purpose

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PURPOSE AND EXTERNAL TRENDS

- Great strategies intersect mission and market
- Your WHY drives:
  - Target market
  - Differentiation
  - Partner ecosystem
  - Messaging
- Purpose isn’t soft, it creates focus and relevance
- External alignment increases legitimacy and trust

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THANK YOU